



Faculty of Economics and Business
BSc Economics and Business Economics
Finance Specialization

Leverage Benchmarks, Capital Structure Adjustment, and Acquisition Activity

Name: Junpeng Wang
Student number: 14724200
Supervisor: George Iatridis
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Abstract

This thesis investigates the role of leverage benchmarks on capital structure adjustments and acquisition activity of firms. It focuses on two benchmarks: peer leverage, defined as the average leverage of firms other than the focal firm in the same industry-year, and target leverage, estimated based on firm characteristics.

The thesis uses Compustat North America database covering listed industrial firms in the United States from 2000 to 2024 to test if there is a positive association between a firm's leverage and peer leverage, if firms' deviations from target leverage in acquisition firm-years decrease in subsequent years, and if firms with a higher positive leverage deviation undertake less acquisition activity in the future.

Results show that peer market leverage is positively associated with firm market leverage, but this is only true for a certain measure of market leverage. This evidence is more pronounced for the target leverage benchmark. Firms with a higher leverage deviation in the acquisition firm-year tend to reduce the leverage deviation in the subsequent years and, furthermore, firms with a higher positive leverage deviation undertake less acquisition activity in the next year.

In conclusion, the results provide evidence of an association of leverage benchmarks with capital structure adjustments and acquisition activity, however the evidence should be taken as associations rather than a causal relationship.

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Statement of Originality

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1. Introduction

1.1 Background and Motivation

Corporate finance relies heavily on the concept of capital structure, which is essentially the method through which a company funds its assets and projects by mixing debt with equity. A company's leverage matters because it determines its financial adaptability, the degree of risk it faces, the expense of its funding, and its capability to seize upcoming investment chances.

The pecking order and trade-off theories offer two distinct explanations for a company's debt ratio. The trade-off model posits that companies strike a balance between the benefits of tax deductions on debt payments against the anticipated costs of financial hardship, resulting in an optimal or goal leverage ratio. Pecking order theory, on the other hand, asserts that financial decisions are molded by the disparity in information availability to different investors, with companies preferring internal financing, moving to debt, and only resorting to equity as a final option. Market timing theory introduces the idea that companies will issue equity during times when the market is overvaluing them, leading to lasting changes to their observable leverage levels.

Nevertheless, the available data indicates that a company's debt ratio is not dictated only by its own attributes. Companies function within a specific industry with competitors experiencing similar financing conditions, development possibilities, and the outlooks of the capital markets. Crucially, companies can witness and react to their peer companies' monetary decisions. Leary and Roberts (2014, pp. 139-142) reveal the vital function of peer companies in a corporation's financial decision-making, and that peer effects may be economically more significant than many of the traditional firm-level factors of leverage. This implies that companies may employ peer leverage as a comparison point when choosing their very own capital structure. In this scenario, industry rivals don't merely represent similar underlying circumstances; their observable financial decisions may additionally supply data, stimulate aggressive rivalry, or lay down conventions for what might be perceived as a viable leverage level.

Concurrently, a company may also contrast its own leverage to a calculated optimal leverage ratio. Should companies have specific leverage objectives, departures from them may significantly influence financing as well as investment decisions. When a company's leverage exceeds its target, its debt-carrying capability and financial flexibility could diminish. Conversely, a company falling short of the target might have more untapped debt capacity to borrow. It's especially important for companies with major development decisions like mergers and acquisition deals when leverage objectives are considered. Acquisitions may require large volumes of financing and can influence leverage levels, too, mechanically. The company can apply any form of financing—cash, debt, or stock—to the deal.

Capital structure and M&A activity have been linked in a number of papers. Harford, Klasa, and Walcott (2009, pp. 1-2) examine substantial M&A activity and find that bidding companies factor in debt leverage target decisions into their financing for acquisition, and revise their capital structure in response to a leverage change that the acquisition produced. Uysal (2011, pp. 602-603) demonstrates in addition that companies who have debt leverage levels above their target debt ratios are less inclined to undertake an M&A deal, are less inclined to apply cash in their M&A deal, will acquire smaller targets, and pay lower premiums.

These two perspectives regarding leverage benchmarks have rarely been considered together. This thesis does that in the following ways. First, does a company's leverage ratio vary positively with the leverage ratio of peer companies, thereby reflecting an industry benchmark? Second, do companies alter their leverage following acquisition activity, therefore reflecting a leverage target benchmark? Third, do companies with a larger leverage deficit subsequently undertake less acquisition activity, thereby linking the leverage decision to a particular development decision? By considering these three points, capital structure can be examined not only as a financing choice, but as a dynamic process that is affected by peer leverage, leverage targets, and acquisition opportunities.

1.2 Research Question

The core research question of this thesis is: How do leverage benchmarks affect firms' capital structure adjustment and acquisition activity? This query is directed towards the influence of leverage benchmarks in corporate financial policy. In this thesis, leverage benchmarks are conceived of in two ways. One benchmark is peer firm leverage, which is the average leverage of peers in the same industry-year group. This benchmark tests whether firms' capital structures are tied to the leverage of peer firms. The other benchmark is target leverage, which is calculated from the standard firm's characteristics. The gap between the actual market leverage and the estimated target leverage, the leverage deficit, tests whether firms are overleveraged or underleveraged relative to the firm's predicted leverage.

This thesis splits the research question into three sub-questions.

H1: Firm leverage is positively associated with peer firm leverage. H1 tests whether firms have higher leverage if their peer firms are highly leveraged. If a positive association is found, that is an indication that peer firms act as an external capital structure benchmark, but by itself it could also be that firms are just in the same industries. In that case, it can be concluded that a positive association between firm leverage and peer firm leverage is found once firm characteristics, peer firm characteristics, lagged leverage, industry and year fixed effects are controlled for. In other words, the relationship between firm and peer leverage contains relevant information that goes beyond the relationship explained by standard determinants of leverage.

H2: Firms adjust leverage deviations following acquisition activity. H2 tests whether firms adjust leverage deviations if they are involved in acquisition activity. Acquisitions influence firm leverage in two ways. Firms often make use of cash when they carry out an acquisition. Alternatively, the acquired firm's assets are integrated into the firm. If the acquired firm's debt has not been paid back, the firm's total debt increases. In both cases, firms' leverage may change. Acquisition activities may also shift firms' target leverage, particularly if the target firms have different characteristics from the acquirer. If firms care about their leverage targets, acquisition-related leverage changes would not be entirely persistent, since firms will try to reduce their deviation from the target leverage. This means that H2 tests whether acquisition activity is associated with subsequent adjustment towards target leverage.

H3: Firms with high leverage deficits have lower acquisition activities in the future. H3 tests whether leverage deficit predicts firm acquisition activity. If a firm's leverage deficit is large, its actual leverage is higher than the estimated target leverage. The firm's unused debt capacity is therefore smaller and financial distress costs may be more likely. Consequently, firms may be unable to take up acquisition opportunities or may choose not to carry out new acquisitions in the next year. If H3 finds a negative relation between leverage deficit and firms' acquisition activities, that would indicate that capital structure deviations influence firms' subsequent real activities.

Together, the three hypotheses are the sub-questions of this research. H1 tests whether firm capital structures are associated with external leverage benchmarks. H2 tests whether firms try to adjust towards an internal capital structure benchmark following acquisition activity. H3 tests whether the deviation of the firms' actual leverage from their target leverage affects firms' future acquisition activities. All of these hypotheses can be answered within one conceptual framework.

1.3 Preview of the Method

In this thesis, I use accounting and market data from Compustat North America at the firm-year level to investigate the links between capital structure adjustment and acquisition activity using firm leverage benchmarks. My sample includes only U.S. industrial firms incorporated in the U.S. between 2000 and 2024 and excludes financial firms and utilities, whose leverage choices are often dictated by regulation and, as a result, are difficult to compare to those of industrial firms (Flannery and Rangan, 2006, p. 475, Uysal, 2011, p. 604). This is the most common approach in the empirical capital structure literature.

The empirical section of this thesis consists of three regression models. First, I examine whether firms' leverage decisions are positively related to other firms' leverage decisions in the same industry-year group (i.e. peer firm leverage) as in Leary and Roberts (2014, pp. 139–142) who show that peer firms matter in corporate financial policy (p. 139). Peer firm leverage is defined as the average industry-year firm leverage excluding the focal firm itself (Leary and

Roberts, 2014, pp. 145–146). This model also includes control variables for firm-level and peer-level characteristics, firm leverage in the previous year, and year and industry fixed effects. Second, I investigate whether firms close their leverage deficit following acquisition activity, building on the target-adjustment framework of Flannery and Rangan (2006, pp. 470–472) who claim that firms' leverage ratios are close to their targets in general, but firms' adjustment of their debt levels is partial rather than complete in any given period (p. 471). Harford, Klasa, and Walcott (2009, pp. 1–2, 10) apply this framework to acquisition activity and find that firms tend to adjust their leverage levels toward their targets after acquisition activity (p. 10). Similar to their study, this thesis first calculates firm target leverage using a firm's characteristics, and then calculates firm leverage deficit which is the difference between a firm's market leverage and estimated target leverage. My main adjustment model then looks at whether firm leverage deficits shrink following the period of acquisition activity over one-, three- and five-year intervals. Third, I study the impact of firm leverage deficit on future acquisition activity, which is based on the work of Uysal (2011, pp. 602–603) who finds that over-levered firms are less likely to engage in acquisition activity and that firms with more leverage deficit engage in lower acquisition intensity. Following his two-step procedure, first I estimate the target leverage for my sample firms, and then I estimate the effect of firm leverage deficit on firms' acquisition intensity. Following Uysal (2011, pp. 603–605), I also separate over-levered firms from under-levered firms, since her results suggest that the effect on acquisition activity is mainly driven by over-levered firms. I estimate the regressions as linear panel-style regressions in Python. My specifications include year fixed effects, and in some cases industry fixed effects as well. I calculate standard errors with clustering at the firm level and my results will be interpreted as associations, and not causal relationships, because of difficulty to identify true peer effects due to common shocks at the industry level and the reflection problem discussed in Leary and Roberts (2014, pp. 140–141).

1.4 Contribution

This thesis advances the capital structure field by linking three distinct areas: peer effects, adjustment to the target leverage, and acquisition behavior. Capital structure literature to date has largely emphasized traditional firm-specific factors such as size, profitability, tangibility, market-to-book, and cash balances. More recent evidence suggests that firms also may follow the capital structure policies of peer firms. Indeed, Leary and Roberts (2014, pp. 139–142) demonstrate that peer firms' decisions regarding financing play a significant role in the capital structure policies of firms and that this peer-benchmark may have a larger economic magnitude than many of the traditional variables. This thesis extends this literature on peer-leverage benchmarking using a recent U.S. firm-year sample by linking the results to capital structure decisions made in the presence of an acquisition.

First, this thesis considers leverage benchmarks simultaneously as external and internal, with peers' leverage acting as the external benchmark by measuring the capital structure of

comparable firms in the same industry-year, and with target leverage acting as the internal benchmark by measuring a firm-specific target derived from characteristics of that firm. This dual perspective enables a comparison of leverage as a relative decision: whether a firm is behaving as compared to a peer group or as compared to an internally estimated target.

Second, this thesis examines capital structure adjustment following acquisition activity, building off the findings of Harford, Klasa, and Walcott (2009, pp. 1–2, 10), who find that acquisitions are an ideal context in which to study a firm's target leverage since they may induce dramatic changes in capital structure.

Third, this thesis considers future acquisition activity as a possible effect of a firm's deviation from its benchmark. Uysal (2011, pp. 602–605) finds that firms that are highly overleveraged are significantly less likely to acquire and argues that a leverage deficit limits a firm's ability to conduct a corporate acquisition.

Overall, the contribution of this thesis is primarily empirical and applied. This study does not aim to provide a fully causal test of the peer effect or a structural model of acquisition decision making. Instead, it brings together findings established in Leary and Roberts (2014), Harford, Klasa, and Walcott (2009), and Uysal (2011) under the unified empirical framework of one analysis.

1.5 Roadmap

The following outlines the organization of the remainder of this thesis:

Section 2 discusses the related literature on classical capital structure theories, the determinants of firm-level leverage, the role of peer effects in corporate financial policy, and the link between capital structure and acquisition activity.

Section 3 outlines the data, the definition of variables, and the empirical approach to testing the three hypotheses.

Section 4 presents descriptive statistics, a correlation analysis, and the results of the baseline regression analysis.

Section 5 summarizes results of the various robustness checks, performed to investigate whether the key findings are robust to alternative empirical specifications and to alternative variable measurements.

Section 6 discusses the empirical findings in relation to relevant literature, limitations, as well as future research.

Section 7 concludes this thesis by answering the research questions and summarizing the main implications.

2. Related Literature

2.1 Classical capital structure theories

The capital structure analysis starts from asking the question of what explains why the observed capital structure of one firm differs from that of another. In a frictionless market, a firm's capital structure is irrelevant, meaning that its choices do not affect the value of its operations. However, if I incorporate market frictions, such as taxes, bankruptcy costs, asymmetric information, or adjustment costs, capital structure becomes economically important.

For example, the trade-off theory states that a firm's leverage choice is determined by the tradeoff between tax advantages and costs of financial distress. Kraus and Litzenberger (1973, pp. 911–912) first model taxes and bankruptcy costs into a traditional capital asset valuation framework, arguing that firm value can be increased through tax benefits of debt while it can be decreased through costs of financial distress due to excessive debt. Thus, this theory implies that a firm's leverage choice depends on its leverage target.

Myers and Majluf (1984, pp. 187–188) offer another perspective. They state that if information is asymmetric between management and outside investors, the issuing of equity can be seen as a negative signal by the market. As a result, they conclude that firms will prioritize financing in the following order: internal financing, followed by debt, and then equity. In their framework, firm leverage could be driven by the sequence of a firm's financing decisions. This means that the observed leverage level at time t is a reflection of cumulative net financing over time, rather than a deliberate movement towards an optimal target.

Baker and Wurgler (2002, pp. 1–3) argue that firm capital structure reflects market-timing behavior. They find that companies tend to issue equity when market valuations are high. If this timing decision is persistent, the firm's capital structure could be affected by previous market timing events.

These theories provide three alternative explanations: target leverage and adjustment behavior, pecking order and financing hierarchy, and market timing. For this thesis, the trade-off theory is of most relevance since I draw on the trade-off theory in the definition of target leverage and deficit leverage, based on a firm's comparison of leverage levels and its optimal capital structure. At the same time, these theories are important to keep in mind since they offer possible alternative explanations for the leverage decisions of firms. If a firm does not rapidly react after the leverage gap opens, this could either be driven by a high adjustment cost or a slow adjustment to the target leverage. A third explanation for a firm not adjusting its leverage ratio rapidly is that the observed leverage level is a result of previous decisions to raise capital based on timing rather than targeting behavior.

2.2 Firm-level determinants of leverage

Conventional capital structure tests involve regressing firm leverage on a broad set of firm attributes. Titman and Wessels (1988, pp. 1–3) posit that firms choose the most suitable capital structure as a function of characteristics that drive up the costs of debt and equity financing. Specifically, they note the significance of asset structure, growth opportunities, size, uniqueness, and profitability. These types of variables are appropriate because underlying theoretical constructs such as the costs of financial distress or information asymmetry are difficult to measure directly; they must be proxied using accounting data.

It is expected that there would be a positive relation between firm size and leverage. Larger firms are thought to be more diversified and, thus, are exposed to less of a risk of bankruptcy. They may also have easier access to capital markets. Similarly, it is anticipated that the tangibility of a firm's assets has a positive relation to the firm's debt capacity because such assets can serve as collateral for secured debt and thereby limit losses in the event of default. Profitability is perhaps less unambiguously expected to relate to leverage. Higher profitability can provide an advantage for using more debt due to the availability of interest tax shields. On the other hand, a higher degree of profitability may result in less need for external financing (such as debt) as the firm is able to rely on its internal cash flows. Market-to-book value is often used as an alternative proxy for growth opportunities. If growth options are more prevalent, the firm may choose to avoid debt financing to minimize potential underinvestment. The presence of cash may also lead to lower levels of external finance needed, thereby providing the firm with increased flexibility (Titman and Wessels, 1988, pp. 1–3).

The variables described above will be important for this thesis for two reasons. First, they serve as control variables in the peer leverage model. If firm leverage is indeed tied to that of its peer firms, then the connection must not just be the result of commonalities in standard firm characteristics such as size, profitability, asset structure, and growth opportunities. Second, the variables are used in the estimation of target leverage. With the target leverage approach, the fitted value obtained from a regression of leverage against firm-level determinants represents the target or expected level of leverage. The residual (difference) between the predicted and actual leverage, which is referred to as the leverage deficit, is then used to test the hypotheses of this thesis. Consequently, the determinants of the firm's capital structure are the basis for identifying firm-level factors relevant to adjustment and acquisition behavior.

2.3 Peer Effects in Corporate Financial Policy

Capital structure models traditionally have posited that firm financing choices are made independently based on specific firm characteristics. However, more recently, evidence suggests that a firm's peers may have an influence on its financial policy. Leary and Roberts (2014, pp. 139–142) argue that peers are an important determinant in capital structure and financing decisions. The data indicates that a firm's financing decisions are related to the choices of other firms in their industry, which may be more important than the firm's own characteristics in some cases. The peer effects idea is closely tied to using leverage benchmarks. Managers may not know the exact optimal capital structure, especially when the costs and benefits of debt are hard to measure. In this case, peer firms can offer valuable insights. For instance, a company may take the leverage of similar firms as an indicator of prevailing industry norms, the state of the debt market, or competitive pressures. Peer leverage might thus be important because firms learn from them, they react to the expectations of the market, or they do not want to be too different from other firms in the same sector.

Nevertheless, it is difficult to identify peer effects. As Leary and Roberts (2014, pp. 140–141) describe, the reflection problem is relevant: if firms in the same peer group share similarities in their behavior, it could be that they influence one another or it may simply be that they face identical conditions in their industry. For instance, firms in the same industry might have similar asset composition, investment options, risks, and access to external financing. The positive correlation between firm and peer leverage therefore does not imply imitation or a causal impact of peers. This thesis resolves the problem by conceptualizing peer leverage as a benchmark instead of making a definitive causal claim. The first hypothesis tests whether a firm's leverage is positively related to the peer firms' leverage after including firm and peer controls, lagged firm leverage, and fixed effects. In other words, the hypothesis provides a cautious test of the idea that peer leverage includes information relevant for firm leverage that is not already included in standard factors.

2.4 Capital structure and acquisition activity

Capital structure also matters for acquisition activity because acquisitions require external financing and can result in a large impact on leverage. Harford, Klasa, and Walcott (2009, pp. 1–2) study large-scale acquisitions and show that the announcement and completion of such events provide a nice setting to assess whether firms have target capital structures. Their reasoning is that large-scale acquisitions can have a significant effect on leverage. If firms care about having the target leverage, the impact from the event should affect acquisition financing decisions and should lead firms to adjust their capital structure in the aftermath. The authors demonstrate that acquiring firms consider leverage deviations when picking the financing choice for the acquisition and that firms adjust to target leverage after debt-financed deals.

The literature discussed above relates directly to target adjustment models. In their study, Flannery and Rangan (2006, pp. 470–472) suggest that firms can have a target debt ratio but that they only adjust partially towards it since doing so is costly. Thus, the average firm does not move directly back to its target in the presence of an adverse shock. Firms may rather adjust the difference between its target leverage and its current leverage over time. This is why acquisition events provide a useful setting, since leverage adjustment can be observed around a major corporate event. Uysal (2011, pp. 602–605) builds on this line of research by investigating how leverage gaps affect acquisitions. The leverage deficit, defined in the study as actual leverage minus target leverage, results in overleveraged firms being less likely to undertake acquisitions. They are also less likely to use cash, acquire smaller targets, and pay lower premiums. Mechanistically, firms with leverage above target have less unused debt capacity, and may face stronger financing constraints, limiting their ability to finance acquisitions or to place aggressive bids on targets. Furthermore, Uysal demonstrates that the leverage effect is asymmetric in the direction of leverage: an increase in overleverage restricts acquisitions more than a drop in underleverage induces them. Morellec and Zhdanov (2008, 556–557) provide a theoretical basis for the relationship between leverage and takeovers: “The reason why financing policy could influence takeover contests is that lower leverage gives the bidder more flexibility and hence can affect the result of the [acquiring] competition.” They thereby imply that acquisition and leverage are co-determined. Hence, leverage is not only the result of prior financing decisions, it is also an element that can influence subsequent investment decisions.

2.5 Literature gap and hypothesis development

The literature discussed above provides three elements to build my thesis. First, the capital structure theories discussed in section 2.1 and 2.2 imply why firms may be targeted to achieve a target leverage ratio or why instead firm leverage may follow the pecking order or be determined by market timing. Second, empirical capital structure literature offers determinants at the firm level that can be used to model and estimate target leverage. Third, studies have been conducted to find if peer firms affect corporate financial policy and if acquisition activity affects corporate financial policy. The gap here is that all three above elements are not combined in one study. Literature on peer effects focuses on peer benchmarking: whether firms react to leverage or other financing decisions of a set of peer firms, literature on target adjustment looks at whether firms change towards their estimated target ratio, while literature on acquisition looks at whether leverage deviation has effect on acquisition financing decisions and acquisition choices. The research here therefore looks into how leverage benchmarking affects both capital structure adjustment and acquisition choices (Uysal, 2011, pp. 602–605).

I make three hypotheses to investigate the above. H1 states that firm leverage is positively associated with peer firm leverage. This follows from the literature suggesting that firms may

utilize peer leverage as an external benchmark. H2 states that firms adjust their leverage deviations following acquisition activity. This follows from the target adjustment literature and the notion that acquisition activity can coincide with changes in leverage and target leverage. H3 states that acquisition activity in future will be lower for firms with higher leverage deficit. This follows from the argument that an overleveraged firm will have lower flexibility or face more constraints in acquiring targets. The study therefore brings together the three above areas into a cohesive and empirical research design within capital structure research.

3. Data Description and Methodology

3.1 Data Source and Sample Processing

The thesis uses firm-year accounting and market data from Compustat North America. This database includes annual observations on listed firms that contain balance sheet, income statement, market, and acquisition-related variables. The raw dataset comprises 300,420 firm-year observations on 32,838 unique firms. Although the initial fiscal year range spans 1999–2025, the final sample is limited to 2000–2024. The fiscal year 2025 is excluded since the data appear to be incomplete, with significantly higher rates of missingness on most accounting variables. The final sample period therefore covers a recent twenty-five-year interval while excluding the most incomplete fiscal year.

Table 3.1 Sample selection process

Step	Sample restriction	Observations	Unique firms	Observations removed
0	Raw data	300,420	32,838	—
1	After type conversion	300,420	32,838	0
2	Standard industrial USD records	252,670	27,783	47,750
3	U.S.-incorporated firms	219,969	24,308	32,701
4	Sample period 2000–2024	209,906	23,081	10,063
5	Excluding financials and utilities	119,789	12,970	90,117
6	Positive total assets	114,702	12,900	5,087
7	Variable construction	114,702	12,900	0
8	Data cleaning	114,702	12,900	0
9	Target and future variables	114,702	12,900	0

The sample is then subjected to the following filters:

First, I retain only consolidated, industrial-format, standard-format observations reported in US dollars; second, I retain only firms incorporated in the US; third, I restrict the fiscal year range to 2000–2024; fourth, I drop financial firms (SIC 6000–6999) and utilities (SIC 4900–4999) because their leverage choices are more heavily influenced by regulatory considerations and, thus, less comparable to those of standard industrial firms; and fifth, I exclude observations with non-positive total assets.

The base cleaned sample contains 114,702 firm-year observations on 12,900 unique firms. After the sample restrictions, I then construct the variables used in the empirical models. Missing values on long-term debt, debt in current liabilities, and acquisition expenditure are set to zero because missing values on these variables usually reflect no reported long-term debt, current debt, or acquisition expenditure. Missing values on R&D expenditure are also set to zero, while an additional R&D missing indicator is generated to preserve the information that some firms did not report R&D expenditure. Missing values on all clearly impossible numbers (i.e., negative market equity, negative total debt, negative sales, negative acquisition expenditure, and non-positive market assets) are set to missing. After this cleaning, ratio variables are recomputed to ensure consistency. The main ratio variables are winsorized at the 1st and 99th percentiles, to reduce the impact of extreme observations.

Finally, the final regression samples for each hypothesis vary by model because each model requires different sets of lagged variables, peer variables, target firm variables, and future variables. The peer benchmark model has the largest sample, whereas the acquisition adjustment models have smaller sample sizes because these models are restricted to firms with acquisition activity and require information on future firm leverage. Table 3.2 reports the three-year horizon as the main H2 sample, consistent with the primary specification discussed below.

Table 3.2 Final regression samples

Model sample	Observations	Unique firms	First year	Last year
H1 peer benchmark sample	90,228	10,446	2001	2024
H2 acquisition adjustment sample (three-year horizon)	19,806	3,977	2001	2021
H2 large acquisition adjustment sample (three-year horizon)	1,865	1,314	2001	2021
H3 acquisition decision sample	78,801	9,270	2001	2023

3.2 Variable Definitions

Market leverage is the primary dependent variable in the peer benchmark model. This variable is measured as total debt over market assets, where total debt equals long-term debt

plus debt in current liabilities. Market equity equals shares outstanding times the fiscal-year closing stock price. Market assets equal total assets minus common equity plus market equity. Book leverage is constructed as total debt divided by total assets and is used for descriptive statistics and as a robustness variable for analysis.

For H1, peer leverage is the primary explanatory variable and is defined as the average market leverage of other firms within the same three-digit SIC industry and fiscal year. The average is computed after excluding the focal firm (which avoids mechanical self-inclusion). For firms that are the only observation in their industry-year group, peer leverage is set to missing. The three-digit SIC level is used in order to allow for sufficient industry comparability but to maintain a large sample. Full H1 estimates control for the peer averages of the lag of firm size, profitability, tangibility, and market-to-book, in addition to peer leverage.

Target leverage and leverage deficit are the variables of interest for testing H2 and H3. Target leverage is calculated for each sample year as the fitted value from a firm-level regression using market leverage as the dependent variable. The regression controls for the lag of firm size, the market-to-book ratio, the stock return in the sample year, R&D intensity, tangibility, and profitability, and lagged market leverage. In years in which the annual cross-section is sufficiently large, industry fixed effects are also included at the three-digit SIC level. The estimate from the target leverage regression is considered the firm's estimate of its target leverage for that year. Predicted target leverage is then clipped to the 1st and 99th percentiles of observed winsorized market leverage. I then define leverage deficit as actual market leverage minus target leverage; positive leverage deficit measures overleverage and negative deficit measures underleverage.

Finally, to measure acquisition activity I use Compustat acquisition expenditure. I defined a firm's acquisition intensity as positive acquisition expenditure divided by total assets, and a dummy that equals one when acquisition intensity is positive (acquisition dummy). To measure large acquisitions, I constructed a dummy that equals one when acquisition intensity exceeds the threshold of 20% of total assets. I adopted this as a simple proxy for large acquisition activity since large acquisitions (expenditures) are more likely to produce capital structure shocks.

Table 3.3 Main variable definitions

Variable	Definition
Total debt	Long-term debt + debt in current liabilities
Book leverage	Total debt / total assets
Market equity	Common shares outstanding × fiscal-year closing share price
Market assets	Total assets – common equity + market equity
Market leverage	Total debt / market assets
Peer leverage	Average market leverage of other firms in the same SIC3-year group

Target leverage	Predicted market leverage from annual target leverage regression
Leverage deficit	Actual market leverage – target leverage
Overleveraged dummy	1 if leverage deficit is in the top fiscal-year quartile
Underleveraged dummy	1 if leverage deficit is in the bottom fiscal-year quartile
Firm acquisition intensity	Positive acquisition expenditure / total assets
Acquisition dummy	1 if acquisition expenditure is positive
Large acquisition dummy	1 if firm acquisition intensity > 20%
Size	Natural logarithm of total assets
Profitability	Operating income before depreciation / total assets
Tangibility	Net PPE / total assets
Cash holdings	Cash and short-term investments / total assets
Market-to-book	Market assets / total assets
R&D intensity	R&D expenditure / total assets
R&D missing indicator	1 if R&D expenditure is missing before replacement
Stock return	Annual change in fiscal-year closing share price / lagged fiscal-year closing share price

The control variables are based on standard capital structure determinants. Size captures firm scale and access to external finance. Profitability measures internal financing capacity. Tangibility proxies for collateral value. Cash holdings capture liquidity and financial flexibility. Market-to-book is used as a proxy for growth opportunities. R&D intensity controls for intangible investment and firm uniqueness. Lagged variables are kept only when the previous observation is exactly one fiscal year earlier, which avoids creating false lags when firms skip years in Compustat.

3.3 Acquisition Activity Measures

Acquisition activity is determined using Compustat acquisition expenditure. A variable capturing firm year acquisition expenditure is available in the dataset. Due to the lack of the SDC deal-level dataset, I use firm year acquisition expenditure as a proxy for acquisition activity. The primary variable I use to measure acquisition activity is firm acquisition intensity, which is positive acquisition expenditure divided by total assets.

$$FirmAcqIntensity_{i,t} = \frac{AQC_{i,t}^{pos}}{AT_{i,t}}$$

where $AQC_{i,t}^{pos}$ equals acquisition expenditure when it is positive and equals zero when acquisition expenditure is reported as zero. $AT_{i,t}$ is total assets. I exclude negative acquisition

expenditure since I assume negative expenditure is not interpreted as acquisition expenditure and I exclude these observations from the positive measure. A firm year is considered an acquisition firm year if the acquisition expenditure is positive. I create the following acquisition dummy:

$$AcqDummy_{i,t} = 1 \text{ if } AQC_{i,t} > 0$$

I also identify in the dataset large acquisition firm years. The intuition is that large acquisitions have a higher likelihood of triggering capital structure shocks. Therefore, I construct a large acquisition dummy, which is set equal to 1 if the acquisition intensity is greater than 20% total assets, i.e.

$$LargeAcqDummy_{i,t} = 1 \text{ if } FirmAcqIntensity_{i,t} > 0.20$$

This threshold is not equivalent to a deal level large acquisition variable since I do not have access to individual transactions values or a target's size. This threshold is instead a basic Compustat proxy, identifying firm years where acquisition expenditure is large, relative to the size of the firm. This threshold is mainly used as a stricter version of the acquisition adjustment test, as used in H2.

Additionally I also calculate industry acquisition intensity at the three-digit SIC-year level:

$$IndustryAcqIntensity_{j,t} = \frac{\sum_{i \in j} AQC_{i,t}^{pos}}{\sum_{i \in j} AT_{i,t}}$$

where i identifies firms in industry j in year t . This variable describes the acquisition intensity of a certain industry year, however I do not use a binary acquisition-active industry split in my main results. As noted in section 1.2, my final research question aims to study how a leverage benchmark affects capital structure adjustment and future acquisition activity. Hence, firm acquisition intensity, future acquisition intensity and the large acquisition dummy align closer to the research objectives as well as H2 and H3.

3.4 Empirical Models

I estimate three sets of regression models for the empirical analysis, corresponding to each hypothesis. The first model examines the relation between firm leverage and peer leverage. the second model examines leverage adjustment following acquisition activity, and the third model tests whether leverage deficits predict future acquisition activity.

The first model tests hypothesis H1 which predicts that firm leverage is positively related to peer firm leverage. The baseline specification for this model is:

$$\begin{aligned}
& MarketLev_{i,j,t} \\
&= \alpha + \beta_1 PeerLev_{-i,j,t} + \gamma' FirmControls_{i,t-1} + \delta' PeerControls_{-i,j,t-1} \\
&+ \rho MarketLev_{i,t-1} + \mu_j + \tau_t + \varepsilon_{i,j,t}
\end{aligned}$$

where $MarketLev_{i,j,t}$ is the market leverage of firm i in industry j and year t . $PeerLev_{-i,j,t}$ is the average market leverage of other firms in the same three-digit SIC industry and fiscal year (the focal firm is not included in the peer average). $FirmControls_{i,t-1}$ include lagged size, profitability, tangibility, cash holdings, market-to-book, R&D intensity, and the R&D missing indicator. $PeerControls_{-i,j,t-1}$ include lagged peer averages of size, profitability, tangibility, and market-to-book. The model also includes lagged market leverage, industry fixed effects (μ_j), and year fixed effects (τ_t). I am interested in the coefficient β_1 and find that H1 is supported if β_1 is positive and statistically significant.

I estimate the H1 regressions one specification at a time. The first specification only includes peer leverage and year fixed effects. The second specification includes firm controls and industry fixed effects. The third specification adds peer controls. The fourth specification includes lagged market leverage. This sequential model specification helps us assess the robustness of the peer leverage relation with the addition of firm fundamentals, peer characteristics, and leverage persistence controls.

The second model tests H2, which predicts that firms adjust their leverage deviations following acquisition activity. The dependent variable is the change in leverage deviation between year t and year $t + k$:

$$\Delta LevDeficit_{i,t \rightarrow t+k} = LevDeficit_{i,t+k} - LevDeficit_{i,t}$$

The regression model is:

$$\begin{aligned}
& \Delta LevDeficit_{i,t \rightarrow t+k} \\
&= \alpha + \rho LevDeficit_{i,t} + \beta_1 FirmAcqIntensity_{i,t} + \beta_2 \Delta TargetLev_{i,t \rightarrow t+k} \\
&+ \theta' Controls_{i,t} + \mu_j + \tau_t + \varepsilon_{i,t+k}
\end{aligned}$$

where $LevDeficit_{i,t}$ is actual market leverage minus estimated target leverage. $FirmAcqIntensity_{i,t}$ is the acquisition intensity measure, measured as acquisition expenditures scaled by total assets. $\Delta TargetLev_{i,t \rightarrow t+k}$ is the change in the estimated target leverage between time t and year $t+k$, which is included to account for any changes in the target leverage level during the same horizon. I also include controls for size, profitability, cash holdings, and market-to-book. I estimate the model for horizons of one, three and five years and I focus mainly on results for the three-year horizon in the subsequent analyses. I only include firm-years with positive acquisition intensity in the sample. Thus, I assess leverage adjustment within acquisition firm-years rather than comparing acquisition firms and non-

acquisition firms. As an additional model specification, I examine adjustment in firms-years with relatively large acquisition activity.

I am interested in the coefficient ρ , the coefficient on the initial leverage deviation. If this estimate is negative, then firms with relatively higher positive leverage deviations in time t reduce those deviations by time $t+k$, and this is consistent with adjustments toward target leverage. The coefficient on the acquisition intensity measure reflects the possibility that the scale of the acquisition activity is associated with future changes in leverage deviations over the time horizon from time t to year $t+k$. Thus, the tests of H2 focus mainly on whether the estimates of ρ show an adjustment pattern in leverage deviations, and results on the coefficient of the acquisition intensity measure provide additional support to the role of acquisition size.

The third model tests H3 which predicts that firms with higher leverage deficits engage in fewer future acquisition activities. the primary specification in the third model is:

$$FutureAcqIntensity_{i,t+1} = \alpha + \beta_1 LevDeficit_{i,t} + \theta' Controls_{i,t} + \mu_j + \tau_t + \varepsilon_{i,t+1}$$

where $FutureAcqIntensity_{i,t+1}$ is firm acquisition intensity in the following fiscal year. I am mainly interested in the estimate of β_1 . If β_1 is negative and significant, then H3 is supported. This finding would show that firms with higher levels of leverage deficits in time t engage in lower acquisition intensity in time $t+1$.

To test whether the relation between leverage deficits and future acquisition intensity is asymmetric, I estimate an alternative model specification. Specifically, I replace the continuous leverage deficit measure with two dummy variables (overleveraged and underleveraged) defined as:

$$\begin{aligned} FutureAcqIntensity_{i,t+1} \\ = \alpha + \beta_1 Overleveraged_{i,t} + \beta_2 Underleveraged_{i,t} + \theta' Controls_{i,t} + \mu_j \\ + \tau_t + \varepsilon_{i,t+1} \end{aligned}$$

Overleveraged is defined as a dummy variable which is equal to one for firms that are in the top fiscal-year quartile of the leverage deficit. Underleveraged is defined as a dummy variable which is equal to one for firms that are in the bottom quartile of the leverage deficit. This test of the alternative model specification aims to test whether overleverage leads to more pronounced decreases in future acquisition activity compared to underleverage and the increase in activity. In addition, I include further H3 tests where the dependent variables are replaced with two dummy variables, *FutureAcqDummy* and *FutureLargeAcqDummy*, which are measures of whether a firm engaged in any acquisition activity or only large acquisition activity.

Table 3.4 Overview of empirical models

Hypothesis	Main dependent variable	Main explanatory variable	Expected sign
H1	Market leverage	Peer leverage	Positive
H2	Change in leverage deficit	Initial leverage deficit	Negative
H2	Change in leverage deficit	Acquisition intensity	Ambiguous
H3	Future acquisition intensity	Leverage deficit	Negative
H3 asymmetric	Future acquisition intensity	Overleveraged dummy	Negative
H3 asymmetric	Future acquisition intensity	Underleveraged dummy	Positive or weak

3.5 Estimation Strategy and Expected Issues

I estimate all models as linear panel-style regressions by OLS. The specifications include year fixed effects to control for common macroeconomic conditions, capital market cycles, and time-specific acquisition waves. Most full specifications also include three-digit SIC industry fixed effects to control for stable differences across industries. Standard errors are clustered at the firm level to account for repeated observations of the same firm. Fixed effects are included through year and industry indicator variables, and standard errors are clustered at the firm level.

I interpret the main estimates as conditional associations, not causal estimates. This is most relevant for H1. A positive relation between firm leverage and peer leverage might indicate peer benchmarking, but it might also simply capture peer-specific industry fundamentals, shared external shocks, or some omitted industry-year factor. I include both firm controls and peer controls along with lagged leverage, year, and industry fixed effects to mitigate this concern. Nevertheless, this cannot fully solve the reflection problem, and I therefore describe the H1 results as evidence of a peer leverage benchmark relation rather than evidence of causal imitation by firms.

I also discuss several expected shortcomings of the H2 model. First, target leverage is an estimate, not a directly observable variable, and leverage deficit consequently includes measurement error. Second, the acquisition measure comes from Compustat acquisition expenditure, not deal-level data. Thus, I capture firm-year acquisition expenditure rather than discrete acquisition announcements with information about payment method, target characteristics, or acquisition completion status. Third, the H2 sample includes only firm-year observations with current acquisition activity and available future leverage information; thus, I observe leverage adjustment following observed acquisition activity and not firms' acquisition decisions themselves. Last, because the adjustment models use future leverage levels, later calendar years drop out of the H2 sample, particularly for longer horizons (three

and five years). I therefore focus the H2 discussion on the three-year horizon and provide alternative results for shorter (one-year) and longer (five-year) adjustment windows.

An issue similar to H2 applies to H3. A negative relation between leverage deficit and future acquisition activity might reflect the hypothesis that overleveraged firms have reduced financial flexibility for future acquisitions. However, this result may also reflect other omitted factors, such as variations across firms in unobserved investment opportunities or managerial preferences. For example, it is possible that overleveraged firms are different in important ways from other firms, and the control variables might not fully capture all firm characteristics influencing the leverage deficit measure. The asymmetric overleveraged and underleveraged specification helps to evaluate whether the results are primarily driven by firms above target leverage. Nevertheless, I cannot rule out other interpretations and cannot claim that this evidence identifies a causal relation between financial slack and investment activity.

Finally, some of the H3 regressions have binary dependent variables: the future acquisition dummy and future large acquisition dummy. For consistency with the other regressions and for ease of interpretation, I estimate these as linear probability models. This implies the coefficients can be interpreted as changes in the probability, but the fitted values do not necessarily remain in the [0,1] range. These binary-outcome specifications thus serve as additional robustness-style evidence rather than sole reliance for inference. Overall, the empirical strategy provides a test of the three main hypotheses that is transparent and straightforward to reproduce, but I recognize and discuss the issues of possible endogeneity, measurement error, and identification concerns.

4. Results

I first present summary statistics and unconditional correlations for the main variables of interest, using all available firm-year observations in the variable-construction sample. Next, I report regression results on hypothesis-specific samples, as detailed in Table 3.2 and in the tables below. Table 4.3 reports results from H1's leverage benchmark regressions. Table 4.4 reports results from H2's leverage adjustment regressions. Table 4.6 reports results from H3's future acquisition regressions. I report t-statistics based on standard errors clustered at the firm level throughout.

4.1 Descriptive statistics

Table 4.1 Descriptive statistics

Variable	N	Mean	Std. dev.	25th pct.	Median	75th pct.
Market leverage	103,452	0.1575	0.1807	0.0060	0.0941	0.2466

Peer leverage	102,902	0.1572	0.0908	0.0886	0.1309	0.1996
Target leverage	90,896	0.1604	0.1556	0.0377	0.1090	0.2384
Leverage deficit	90,896	-0.0008	0.0770	-0.0368	-0.0120	0.0246
Firm acquisition intensity	112,209	0.0193	0.0574	0.0000	0.0000	0.0022
Acquisition dummy	112,209	0.2836	0.4508	0.0000	0.0000	1.0000
Large acquisition dummy	112,209	0.0295	0.1693	0.0000	0.0000	0.0000

Note: Market leverage, peer leverage, leverage deficit, and acquisition intensity are winsorized at the 1st and 99th percentiles. Predicted target leverage is clipped to the 1st and 99th percentiles of observed winsorized market leverage. The acquisition dummy and large-acquisition dummy are binary indicators.

Table 4.1 displays summary statistics for the main variables of interest. Average market and peer leverage are 0.1575 and 0.1572, respectively, which is expected because peer leverage is defined as the average market leverage of other firms in the same industry-year. The sample's median market leverage of 0.0941 is below its mean, which implies that the distribution of leverage is skewed to the right, even after the top and bottom 1% of values are winsorized. The mean of the estimated target leverage variable is 0.1604. Because the leverage deficit is defined as observed leverage minus the estimated target leverage, the average of this variable is close to zero in-sample (-0.0008). However, the large standard deviation of 0.0770 implies there is substantial variation in the degree to which the actual firm leverage deviates from its estimated target.

Acquisitions are relatively uncommon in the sample. Average firm acquisition intensity is 0.0193, yet median acquisition intensity is zero. The acquisition dummy has an average of 0.2836, which suggests that 28.4% of firm-year observations with available acquisition information report positive acquisition expenditure, while a more stringent large-acquisition threshold (acquisitions greater than 20% of total assets) is satisfied by 3.0% of the observations.

4.2 Correlation analysis

Table 4.2 Correlations between the main variables

Variable	(1)	(2)	(3)	(4)	(5)
Market leverage	1.000				
Peer leverage	0.389	1.000			
Leverage deficit	0.517	-0.046	1.000		

Acquisition intensity	0.057	-0.002	0.181	1.000	
Future acquisition intensity	-0.044	-0.020	-0.027	0.160	1.000

Note: (1) Market leverage; (2) peer leverage; (3) leverage deficit; (4) acquisition intensity; (5) future acquisition intensity.

Table 4.2 presents correlations between the key variables. Market leverage and peer leverage exhibit an unconditional correlation of 0.389. This offers the first piece of evidence that companies in the same industry year will have some leverage correlation, though one cannot differentiate between peer comparison to the peer's leverage and firms or industries sharing similar leverage characteristics. In fact, I also find a positive correlation between market leverage and leverage deficit (0.517), which is expected as leverage is one part of the deficit measure. Leverage deficit and acquisition intensity next year are negatively correlated (-0.027), which is also in line with H3 before adding any control variables. Pairwise correlations are not high enough to indicate that the primary explanatory variables might be substitutes of each other. Nonetheless, I must rely on the regressions for conditional inferences.

4.3 Peer leverage benchmark results

Table 4.3 Peer leverage and firm market leverage

Variable	M1	M2	M3	M4
Peer leverage	0.7532*** (37.41)	0.0810*** (3.49)	0.0559** (2.40)	0.0656*** (7.16)
Lagged market leverage				0.8193*** (235.85)
Size, lagged		0.0036*** (6.07)	0.0036*** (6.12)	0.0003** (1.98)
Profitability, lagged		-0.0050*** (-9.44)	-0.0051*** (-9.48)	-0.0007** (-2.56)
Tangibility, lagged		0.1009*** (11.11)	0.1019*** (11.22)	0.0151*** (5.77)
Cash holdings, lagged		-0.1780*** (-37.28)	-0.1776*** (-37.24)	-0.0248*** (-14.49)
Market-to-book, lagged		-0.0002*** (-7.44)	-0.0002*** (-7.39)	-0.0000 (-0.39)
Observations	90228	90228	90228	90228
R-squared	0.15	0.278	0.279	0.727

Note: The dependent variable is market leverage. M1 includes year fixed effects; M2 adds firm controls and SIC3 fixed effects; M3 adds peer controls; M4 adds lagged market leverage. Firm-clustered t-statistics are in parentheses. ***, ** and * indicate significance at the 1%, 5% and 10% levels.

Table 4.3 shows the results for H1. When looking at the basic model in M1, I see peer leverage has a coefficient of 0.7532 and significance at 1%. The baseline result is large. That is, a 10-percentage-point increase in peer leverage is associated with approximately a 7.5-percentage-point increase in firm market leverage. Once firm controls and industry fixed effects are added

in model M2, the coefficient shrinks to 0.0810. The decline indicates a good deal of the raw relation can be explained by observable firm fundamentals and the persistent differences among industries. The peer leverage coefficient remains positive after adding lagged peer variables in M3. The estimate is 0.0559 and significant at the 5% level. I still get a significant coefficient in M4 at 0.0656 at the 1% level when lagged market leverage is added. A 10-percentage-point increase in peer leverage is related to about 0.66 percentage points higher firm leverage in the full model. The lagged market leverage coefficient is 0.8193, reflecting high persistence in the leverage of a firm. Finally, the R-squared increases from 0.150 in M1 to 0.727 in M4. H1 is supported and I conclude that peer leverage has a positive conditional correlation with firm leverage but its economic magnitude is not as great as that suggested by the baseline correlation.

4.4 Acquisition-related leverage adjustment

Table 4.4 Leverage adjustment following acquisition activity

Variable	1 year	3 years	5 years
Leverage deviation	-0.9392*** (-48.85)	-0.9455*** (-82.40)	-0.9841*** (-91.35)
Acquisition intensity	0.0164** (2.49)	0.0179*** (2.59)	0.0115 (1.50)
Target leverage change	-0.0622*** (-3.32)	-0.0242*** (-3.23)	-0.0142** (-2.27)
Size	-0.0010*** (-3.13)	0.0000 (0.05)	-0.0000 (-0.07)
Profitability	-0.0050** (-2.03)	-0.0051*** (-2.79)	-0.0009 (-0.35)
Cash holdings	-0.0251*** (-7.31)	-0.0169*** (-4.36)	-0.0128*** (-2.86)
Market-to-book	-0.0003** (-2.41)	-0.0007*** (-5.68)	0.0000 (0.09)
Observations	24297	19806	16153
R-squared	0.51	0.492	0.511

Note: The dependent variable is the change in leverage deficit from year t to year $t+k$. The sample includes firm-years with positive acquisition intensity. All models include year and SIC3 fixed effects. Firm-clustered t -statistics are in parentheses.

Table 4.4 reports the H2 adjustment models. For all horizons, the coefficient on the initial leverage deviation is negative and significant at the 1% level. The estimates are -0.9392 after one year, -0.9455 after three years, and -0.9841 after five years. Thus, acquisition firm-years with large positive leverage deficits at time t subsequently experience larger reductions in their leverage deficits. The pattern is consistent with adjustment toward estimated target leverage and is consistent with H2. The acquisition intensity coefficient is positive in the one- and three-year models. It equals 0.0164 at the one-year horizon and 0.0179 at the three-year horizon, with both estimates statistically significant. The five-year coefficient is smaller and not statistically significant. This indicates that larger acquisition expenditure is associated with a small short- to medium-term increase in the change in leverage deviation, while this association does not persist over five years. Changes in estimated target leverage have negative coefficients across the three horizons. Since the dependent variable is constructed from estimated leverage deficits, the very large negative coefficients on initial deviation should be interpreted cautiously: they are consistent with target adjustment, but may also partly reflect mean reversion and measurement error in estimated target leverage.

4.5 Large-acquisition adjustment results

Table 4.5 Leverage adjustment following large acquisition activity

Variable	1 year	3 years	5 years
Leverage deviation	-1.0619*** (-16.68)	-0.9703*** (-33.04)	-0.9851*** (-33.84)
Acquisition intensity	0.0936*** (2.69)	0.0416 (1.11)	-0.0066 (-0.15)
Target leverage change	0.0468 (0.75)	-0.0238 (-0.91)	-0.0264 (-1.16)
Size	-0.0025** (-2.18)	-0.0010 (-0.87)	-0.0010 (-0.80)
Profitability	-0.0031 (-1.56)	-0.0044 (-1.57)	0.0038 (0.94)
Cash holdings	-0.0213 (-1.31)	-0.0415** (-2.33)	-0.0226 (-1.04)
Market-to-book	-0.0002 (-1.08)	-0.0007*** (-3.40)	0.0003 (1.40)
Observations	2338	1865	1459
R-squared	0.638	0.643	0.668

Note: The sample is restricted to firm-years in which acquisition intensity exceeds 20% of total assets. All models include year and SIC3 fixed effects. Firm-clustered t-statistics are in parentheses.

The stricter large-acquisition sample produces a similar adjustment pattern. The initial leverage deviation coefficients are -1.0619, -0.9703, and -0.9851 over the one-, three-, and five-year horizons, respectively, and all are significant at the 1% level. This result shows that the negative adjustment relation is not limited to relatively small acquisition expenditures. Still, the sample drops to 2,338 observations at the one-year horizon and 1,459 observations at the five-year horizon. The acquisition intensity coefficient is significant only in the one-year model, while the target leverage change coefficients are not significant. Consequently, the large-acquisition estimates support the direction of the H2 adjustment result, but the smaller sample produces less precise evidence for the additional acquisition-size variables.

4.6 Leverage deficit and future acquisition activity

Table 4.6 Leverage deficit and future acquisition activity

Variable	M1	M2	M3	M4	M5
Leverage deficit	-0.0202*** (-7.69)	-0.0254*** (-9.52)		-0.1805*** (-9.38)	-0.0360*** (-4.59)
Overleveraged dummy			-0.0037*** (-7.33)		
Underleveraged dummy			0.0024*** (4.65)		
Size		0.0027*** (23.55)	0.0028*** (23.64)	0.0698*** (51.80)	0.0024*** (8.82)
Profitability		-0.0003*** (-3.05)	-0.0003*** (-3.03)	-0.0107*** (-13.66)	-0.0000 (- 0.16)
Tangibility		-0.0190*** (-12.79)	-0.0192*** (-12.84)	-0.2886*** (-18.33)	-0.0266*** (-7.24)
Cash holdings		-0.0049*** (-4.14)	-0.0051*** (-4.33)	-0.1732*** (-16.23)	-0.0014 (- 0.44)

Market-to-book		0.0000*** (2.99)	0.0000*** (3.05)	0.0005*** (12.32)	0.0000 (0.46)
R&D intensity		-0.0073*** (-9.58)	-0.0073*** (-9.56)	-0.0338*** (-5.15)	-0.0156*** (-8.09)
Observations	78801	78801	78801	78801	78801
R-squared	0.007	0.052	0.052	0.237	0.014

Note: M1-M3 use future acquisition intensity as the dependent variable. M4 uses the future acquisition dummy and M5 uses the future large-acquisition dummy. M2-M5 include firm controls, year fixed effects, and SIC3 fixed effects. Firm-clustered t-statistics are in parentheses.

The estimates for H3 appear in Table 4.6. In the M1 baseline specification, the leverage deficit coefficient stands at -0.0202 and is statistically significant at the 1% level. When the specification is expanded in M2 to include controls for firm characteristics and year and SIC3 fixed effects, the coefficient changes to -0.0254, yet it remains significant at the 1% level. Thus, for a ten-percentage-point increase in leverage deficit, the intensity of acquisition in the next fiscal year falls by about 0.25 percentage points. While the magnitude in absolute terms is small, it is considerable in relation to the sample mean for the intensity of acquisition (1.93%). The asymmetric specification in M3 is interpreted along the same lines. The future acquisition intensity for a firm in the top quartile of the distribution of the leverage deficit during the fiscal year is 0.0037 lower than for a firm in the middle two quartiles, and the future acquisition intensity for a firm in the bottom quartile is 0.0024 higher. Both coefficients are statistically significant at the 1% level, which points to a bidirectional relationship: overleveraged firms tend to engage in lower levels of acquisition activity and underleveraged firms in higher. The results from the binary outcome specifications also support this hypothesis. For the M4 specification the coefficient for the leverage deficit is -0.1805, indicating that a ten-percentage-point increase in the leverage deficit is associated with an approximately 1.81 percentage-point decrease in the probability of a positive acquisition expenditure in the next year. For the M5 specification, the coefficient associated with a large acquisition is -0.0360, corresponding to 0.36 percentage points in relation to a ten-percentage-point increase in the deficit. As with the prior estimates, both are significant at the 1% level. These three different models (continuous, asymmetric and binary) all support H3.

4.7 Interim interpretation

The results to this point support the three hypotheses. For H1, after adding controls for firm fundamentals, peer characteristics, lagged leverage, and fixed effects, peer leverage is still positively associated with firm leverage. The sizeable drop in the coefficient once the controls are added indicates that common fundamentals account for a significant share of the unconditional association. While the positive coefficient remaining after controls are included is consistent with peer leverage serving as an external target, it should not be interpreted as a causal peer effect. For H2, leverage deviations decline in the years following acquisition activity. This finding is also true in the case of large acquisitions and supports the hypothesis that following acquisition activity, the firm's leverage moves toward an internal target benchmark. Finally, for H3, the data reveal that firms with a larger positive leverage deficit

engage in lower levels of acquisition in the future as well as a lower probability of making any acquisitions or making a large acquisition in the future. Overall, the results suggest that the leverage benchmarks are related to financing and subsequent real investment activity, but the results remain subject to a non-causal interpretation and to the measurement error and limitations discussed in Section 3.5.

5. Robust Analysis

Here I report the results from independent robustness tests for the three hypotheses. These tests vary the measure of leverage, the definition of the peer group, the target leverage model, the forecast horizon, the handling of acquisition outliers and sample period. These tests are thus designed to examine whether the key results hold given a change of specification that does not simply constitute additional columns in the baseline regressions. All specifications include year and industry fixed effects and report standard errors that are clustered at the firm level.

5.1 Robustness design

I conduct two independent tests for H1. In the first test, market leverage and peer market leverage are replaced by book leverage and peer book leverage, respectively. This test addresses the question of whether the peer benchmark relationship persists using an accounting-based measure of leverage that is not directly impacted by the market value of equity. In the second test, I expand the peer group from the SIC3-year based definition in H1 to an SIC2-year based peer group, and I continue to use market leverage as the dependent variable. Both specifications include the same control set as in the main model for H1, which includes lagged firm characteristics, lagged peer characteristics, lagged leverage, and fixed effects.

To test H2, I estimate annual targets of book leverage using the same target leverage determinants and SIC3 fixed effects as in the main target model. I define book leverage deviation as actual book leverage minus estimated target book leverage. Predicted targets are clipped at the 1st and the 99th percentiles of observed winsorized book leverage, and the resulting book leverage deviation is winsorized at the same percentile limits. The robustness regression then predicts a three-year change in this deviation using all firms with positive acquisition intensity in the given fiscal year. This design allows me to examine if the target-leverage adjustment results hold given another leverage measure and a separate estimate of the target benchmark.

For H3, I conduct three tests. In the first test, I change the forecast horizon from next year's acquisition intensity to acquisition intensity two years ahead. In the second test, I use a non-winsorized acquisition intensity instead of the winsorized value. In the third test, I exclude

observations with base fiscal years 2020 and 2021. The other controls are identical to those used in the controlled continuous-outcome regression used in the main analysis.

5.2 H1: alternative leverage and peer definitions

Table 5.1 H1 robustness: alternative leverage measure and peer group

Variable	Book leverage	SIC2-year peers
Alternative peer leverage	-0.0430*** (-2.71)	0.1854*** (11.93)
Lagged leverage	0.8671*** (48.97)	0.8176*** (234.45)
Size, lagged	-0.0527*** (-17.21)	0.0003* (1.77)
Profitability, lagged	-0.0198** (-2.02)	-0.0007*** (-2.64)
Tangibility, lagged	-0.0977*** (-2.61)	0.0156*** (5.97)
Cash holdings, lagged	-0.1791*** (-5.96)	-0.0247*** (-14.46)
Market-to-book, lagged	-0.0001 (-0.25)	-0.0000 (-0.55)
Observations	90405	90719
Unique firms	10463	10470
R-squared	0.556	0.728

*Note: Column 1 uses book leverage and peer book leverage. Column 2 uses market leverage and SIC2-year peer market leverage. Both models include the full sets of firm and peer controls, year fixed effects, SIC3 fixed effects, and lagged leverage. Firm-clustered t-statistics are in parentheses. ***, ** and * indicate significance at the 1%, 5% and 10% levels.*

The wider SIC2-year definition of peers lends weight to the main result for H1. The coefficient on alternative peer leverage is 0.1854 and significant at the 1% level. Therefore, the positive conditional relationship between peer leverage and firm market leverage is not unique to the narrower group of SIC3-year peers. Since this coefficient is larger than the 0.0656 estimate from the main SIC3 specification, the magnitude of the estimate appears sensitive to the range of the peer benchmark.

The book-leverage test, however, yields a different inference. The coefficient on peer book leverage is -0.0430 and significant at the 1% level, contrary to H1's prediction of a positive relationship. The positive coefficient on lagged book leverage is strongly significant and is worth 0.8671, so the reversal does not seem to be because of a lack of persistence of leverage. Overall, the result indicates H1 is not robust to changing the leverage proxy from market to book leverage. As a result, the finding concerning the peer benchmark should be phrased as the market-leverage result, not as a general relationship holding across all leverage definitions.

5.3 H2: alternative target leverage measure

Table 5.2 H2 robustness: book-leverage target adjustment

Variable	Three-year change
Initial book leverage deviation	-0.7571*** (-16.76)
Acquisition intensity	0.0173 (0.61)
Book target leverage change	-0.2095*** (-5.03)

Size	-0.0149*** (-7.54)
Profitability	-0.0098 (-0.37)
Cash holdings	-0.0600*** (-3.19)
Market-to-book	-0.0012 (-0.92)
Observations	19820
Unique firms	3980
R-squared	0.461

Note: The dependent variable is the three-year change in book leverage deviation. The sample contains firm-years with positive acquisition intensity. The model includes year and SIC3 fixed effects, with standard errors clustered at the firm level.

The coefficient on initial book leverage deviation is -0.7571 and significant at the 1% level. Firm-years for acquiring firms that initially deviate further away from the predicted book leverage target then exhibit larger downward changes in that deviation. This negative relationship between deviation and its change is consistent with the main result for market leverage and is supportive of H2 with an independent estimation of the target measure. The coefficient on acquisition intensity is 0.0173, but it is not statistically significant. Thus, the robustness evidence relates to adjustments to the initial deviation rather than to a distinct effect of acquisition size.

5.4 H3: horizon, outliers, and sample period

Table 5.3 H3 robustness: alternative outcome construction and sample period

Variable	Two-year horizon	Raw intensity	Excluding 2020-2021
Leverage deficit	-0.0241*** (-8.23)	-0.0241*** (-5.25)	-0.0243*** (-8.75)
Size	0.0024*** (19.68)	0.0025*** (12.44)	0.0028*** (23.72)
Profitability	-0.0001 (-1.18)	-0.0008 (-1.28)	-0.0003*** (-3.30)
Tangibility	-0.0174*** (-10.97)	-0.0219*** (-6.24)	-0.0185*** (-12.22)
Cash holdings	-0.0101*** (-8.04)	-0.0060*** (-2.59)	-0.0044*** (-3.60)
Market-to-book	0.0000*** (3.52)	0.0000 (0.18)	0.0000*** (3.00)
R&D intensity	-0.0076*** (-9.56)	-0.0083*** (-2.92)	-0.0072*** (-9.20)
Observations	69818	78801	73050
Unique firms	8235	9270	9209
R-squared	0.05	0.02	0.052

Note: The dependent variable is two-year-ahead winsorized acquisition intensity in Column 1, one-year-ahead raw acquisition intensity in Column 2, and one-year-ahead winsorized acquisition intensity in Column 3. Column 3 excludes observations with base fiscal years 2020 and 2021. All models include year and SIC3 fixed effects and firm-clustered standard errors.

The coefficient on leverage deficit stays statistically significant and negative in all three H3 regressions. In each test, it is -0.0241 (when acquisition intensity is two years ahead), -0.0241 (when the raw (non-winsorized) acquisition intensity outcome is used), and -0.0243 (when observations with base fiscal years 2020 and 2021 are excluded). In addition, they are all close to the main coefficient on leverage deficit of -0.0254 in the controlled model. Thus, H3 results

are not driven by the one-year forecast horizon, winsorization of the dependent variable, or the unusual base-year observations in the period that is excluded.

5.5 Conclusion of robustness analysis

The robustness evidence is not as unambiguously in favor of my main findings as I had anticipated. H2 holds up if leverage deviation is reconstructed from a different book-leverage target model, and H3 is very robust to the alternative horizon, outlier treatment, and sample period. However, H1 remains positive if the peer group is expanded to include the SIC2-year peers but changes sign when both firm and peer leverage are constructed using book values. Thus, the only robust conclusions I can draw are the result for target adjustment in H2, and the negative link between leverage deficit and future acquisition activity in H3. The evidence for H1 relies on my choice of leverage measure, and should not be extrapolated beyond market leverage. These additional tests increase confidence that the principal H2 and H3 results are not merely mechanical products of one implementation. But none of H1, H2, or H3 can claim causation in this respect. The H1 models are still subject to common shocks and the reflection problem, and even the H2 target estimates might suffer from measurement error and mean reversion. The results must thus be viewed as a robust conditional association whenever the different tests converge, with the caveat that I report a reversal using book leverage as an important limit on the general validity of the peer benchmark result.

6. Discussion

6.1 Discussion of H1 in relation to literature

The H1 finding supports the idea that peer firms provide an external reference point for financing decisions, but the support should be interpreted carefully. In the main specification, peer market leverage remains positively associated with firm market leverage after firm controls, peer controls, lagged leverage, and fixed effects are included. This is in line with Leary and Roberts (2014, pp. 139-142), who show that peer firms contain information relevant to corporate financial policy. At the same time, the coefficient falls sharply from the simple specification to the fully controlled model. This decline is important because it indicates that much of the unconditional similarity between firms and their peers is explained by common fundamentals, industry conditions, and leverage persistence rather than by a pure peer-benchmarking channel.

The robustness results make the interpretation of H1 more limited. The peer coefficient remains positive when the peer group is broadened to SIC2-year peers, but it becomes negative when both own leverage and peer leverage are measured using book leverage. This measurement sensitivity connects closely to Kayhan and Titman (2004, p. 19), who estimate book and market leverage separately and treat the two measures as conceptually different outcomes. Their paper also argues that cash flows, investment needs, and stock-price histories

can move firms away from target debt ratios even though capital structures later move back toward targets (Kayhan and Titman, 2004, p. 32). This matters for my H1 result because market leverage contains an equity-market valuation component. If peer market leverage partly captures industry-wide valuation histories or stock-price movements, then the positive H1 coefficient may reflect a market-based industry environment rather than managers deliberately copying their peers' debt ratios.

For this reason, the more defensible interpretation is that H1 provides evidence of a peer market-leverage benchmark, not a general peer imitation effect. The result is still useful because managers, investors, and lenders observe market leverage and may use it to compare firms within an industry. However, the book-leverage reversal means that I cannot claim that peer leverage affects capital structure independently of the leverage measure. The H1 evidence therefore adds validity to the idea that external benchmarks matter, but it also shows that the benchmark is sensitive to how leverage is defined.

6.2 Discussion of H2 in relation to literature

The H2 results are more consistent with the dynamic target-leverage literature. In the main analysis, acquisition firm-years with larger positive leverage deviations experience larger subsequent reductions in those deviations. This is consistent with Flannery and Rangan (2006, pp. 470-472), who argue that firms have target capital structures but adjust only partially because adjustment is costly. It is also consistent with Harford, Klasa, and Walcott (2009, pp. 1-2, 10), who study acquisitions as major financing events and find that acquirers take leverage targets into account when financing deals and adjusting afterward.

The additional paper by Kayhan and Titman gives the H2 finding more validity because it uses a similar target-deficit logic. They find that the leverage deficit is highly significant and that underleveraged firms tend to increase leverage while overleveraged firms tend to decrease leverage over later years (Kayhan and Titman, 2004, p. 26). Their conclusion is not that firms immediately jump back to an exact optimum, but that they behave as though target debt ratios are meaningful while histories of cash flow, investment, and stock-price movements create deviations from those targets (Kayhan and Titman, 2004, p. 32). This closely matches the interpretation of H2 in my thesis: acquisition activity is followed by movement in the direction predicted by target adjustment.

At the same time, my H2 coefficients should not be read as structural speeds of adjustment. They are very large in absolute value, especially in the one-, three-, and five-year models, and the dependent variable mechanically includes the initial deviation. This means that part of the negative coefficient may come from mean reversion or from measurement error in estimated target leverage. Compared with Kayhan and Titman (2004, p. 32), who emphasize relatively slow movement back toward targets, my near-one-for-one reduction in deviations is probably too strong to interpret as pure managerial rebalancing. The safer conclusion is that acquisition

firm-years show a clear direction of adjustment toward target leverage, not that acquisitions causally produce the full estimated adjustment.

Bharadwaj and Shivdasani (2003, p. 115) also help qualify H2 because they show that acquisition financing choices depend on financial slack and deal size: acquirers seek bank financing particularly when cash reserves are low and the transaction is large relative to the acquirer. Their evidence implies that leverage adjustment after acquisitions may depend on the financing channel used for the deal. Since my data use annual Compustat acquisition expenditure and do not observe whether the deal is financed with cash, stock, public debt, or bank debt, the H2 result captures post-acquisition leverage adjustment in general rather than the financing mechanism behind it.

6.3 Discussion of H3 in relation to literature

H3 is the strongest and most robust result in the thesis. Firms with larger positive leverage deficits engage in lower future acquisition activity, and the result remains negative when I use a two-year horizon, raw acquisition intensity, and a sample excluding the 2020-2021 base years. This finding fits Uysal (2011, pp. 602-605), who finds that firms above target leverage are less likely to acquire and tend to make more conservative acquisition choices. In my controlled model, a ten-percentage-point higher leverage deficit is associated with acquisition intensity in the following fiscal year that is approximately 0.25 percentage points lower. Given that the sample mean of acquisition intensity is 1.93%, this is economically meaningful even though the coefficient is small in absolute terms.

Bharadwaj and Shivdasani (2003, pp. 115, 124) make the H3 interpretation more nuanced. Their evidence shows that bank debt can substitute for internal financial slack in acquisitions when firms have lower cash reserves and relatively large transactions. This partly supports the financial-flexibility explanation behind H3: firms with less slack or tighter financing capacity face a different acquisition environment. However, it also complicates a simple overleveraged-firms-acquire-less story. If bank financing can certify and monitor acquisitions, some firms with limited internal slack may still be able to complete value-enhancing deals through external debt financing.

The bank-financing evidence also helps explain why my H3 result should be interpreted as an association between leverage position and future acquisition activity rather than as a direct constraint. Bharadwaj and Shivdasani (2003, p. 139) report that bank loan contracts often restrict future mergers and require bank review of proposed acquisitions, and they later interpret their findings as consistent with a monitoring role for banks (Bharadwaj and Shivdasani, 2003, p. 146). This suggests that leverage can affect acquisition activity through several channels: debt capacity, lender monitoring, covenant restrictions, and the ability to obtain external certification. My thesis does not observe these channels separately, so it cannot determine whether overleveraged firms acquire less because managers choose to

preserve flexibility, because lenders restrict them, or because some acquisition opportunities cannot be financed.

This comparison increases the validity of H3 but also narrows the claim. The negative and robust coefficient is consistent with the argument that capital structure affects real investment decisions. Yet the mechanism is probably broader than a simple target-leverage story. Future acquisition activity may depend on whether firms have debt capacity, whether banks are willing to finance and monitor the transaction, and whether the acquisition can be completed under existing covenants. Therefore, H3 is best interpreted as evidence that leverage deficits predict future acquisition intensity, with financial flexibility and external financing constraints as plausible but not separately identified mechanisms.

6.4 Overall interpretation

Taken together, the findings suggest that capital structure is both a financing outcome and a strategic constraint. H1 shows that market leverage is related to peer market leverage, but the evidence is sensitive to the leverage definition. H2 shows that firms with larger initial leverage deviations after acquisition activity subsequently move closer to estimated target leverage, and this result is supported by the book-leverage robustness test. H3 shows that firms with higher positive leverage deficits undertake less future acquisition activity, and this is the most stable result across alternative specifications.

The overall interpretation is therefore not that firms mechanically follow competitors or that acquisitions mechanically cause target adjustment. A more balanced interpretation is that firms operate within both external and internal leverage benchmarks. Peer market leverage may provide information about the financing environment of an industry, while the internal target benchmark is more closely related to subsequent adjustment and future acquisition capacity. This interpretation is consistent with the broader literature: Kayhan and Titman (2004, p. 32) argue that histories can move firms away from target ratios but that firms gradually move back, and Bharadwaj and Shivdasani (2003, p. 146) show that acquisition financing can involve monitoring and certification by banks. My findings sit between these views by showing that leverage benchmarks are related not only to financing decisions, but also to later acquisition activity.

For managers, this means that leverage planning should not be based only on a firm's current debt ratio. Peer market leverage may be useful as a reference point for market expectations, but the H1 robustness test shows that it should not be treated as a strict target. The internal target position is more important for acquisition planning because a firm that is already above its estimated target may have less flexibility to pursue future deals or may face more restrictive financing conditions. For investors, lenders, and analysts, the results suggest that leverage deficits contain information about future acquisition activity, although the exact financing channel remains unobserved in this thesis.

6.5 Limitations

The first limitation is identification. Firms in the same industry are exposed to common demand, technology, risk, and financing shocks. The positive H1 coefficient may therefore capture unobserved common factors rather than a response to peer leverage. Controls for firm and peer fundamentals, lagged leverage, and fixed effects reduce this concern, but they do not remove the reflection problem. Without an instrumental variable or an exogenous shock to peer leverage, the peer benchmark result remains associational.

The second limitation is the construction of peers and targets. SIC industries are transparent and reproducible, but the economically relevant peer group may instead be defined by product-market competition, geography, size, credit rating, or managerial attention. The difference between the SIC3 and SIC2 estimates shows that peer construction affects the magnitude of the result. Similarly, target leverage is estimated rather than observed. The fitted target depends on the determinants selected, the annual cross-sectional model, the industry classification, and outlier treatment. Measurement error in the target can carry into the leverage deficit and may partly explain the H2 adjustment results.

The third limitation is the acquisition measure. Compustat acquisition expenditure is an annual firm-level variable, so it cannot identify individual deals, announcement dates, completion dates, payment methods, target leverage, assumed debt, bank financing, or covenant restrictions. This is especially important in light of Bharadwaj and Shivdasani (2003, p. 116), who note that samples of completed acquisitions do not observe deals that may have been considered but cancelled because financing could not be obtained. My thesis has the same broader issue: I observe realized acquisition expenditure, not the set of acquisition opportunities that firms considered. Therefore, H3 may understate the effect of leverage constraints if overleveraged firms abandon unobserved deals before they appear in the data.

The fourth limitation is external validity. The sample consists of listed U.S. industrial firms, so the findings may not extend to private firms, regulated industries, financial firms, or non-U.S. institutional settings. The reduced-form design also does not model nonlinear adjustment costs, heterogeneous debt capacity, or the joint determination of capital structure and acquisition policy. As a result, the thesis provides evidence of robust conditional associations rather than causal estimates.

6.6 Future research

Future research could test the peer benchmark more directly by using exogenous shocks to peer leverage or instruments that affect peers but not the focal firm. It would also be useful to compare SIC-based peers with peers defined by product-market competition, supply-chain relationships, geographic proximity, credit ratings, or manager-identified competitors. This would help distinguish peer learning from common industry shocks.

A second direction is to link Compustat to deal-level M&A and financing data. Deal-level information on transaction values, payment methods, bank loans, public debt issuance, covenants, target leverage, announcement dates, and completion dates would allow researchers to separate debt-financed, equity-financed, cash-financed, and bank-financed acquisitions. This would make it possible to test whether the H2 and H3 results are stronger when acquisitions are financed in ways that directly affect leverage or when lenders impose restrictions on future investment.

A third direction is to estimate capital structure and acquisition activity jointly. Dynamic panel or structural models could account for adjustment costs, financing frictions, and the possibility that firms choose acquisition activity partly because of their current leverage position. The difference between market and book leverage in H1 also deserves further study. Future work could examine whether this difference is driven by stock-market movements, market timing, industry valuation shocks, or real differences in how managers use peer information.

7. Conclusion

7.1 Answer to the research question

This thesis asked whether leverage benchmarks shape capital structure changes and M&A behavior. The answer is yes, but with important qualifications. The evidence shows that firm market leverage is positively related to peer market leverage after controls, although this result does not hold when leverage is measured using book values. The evidence is stronger for the internal target benchmark. Firms with larger positive leverage deviations after acquisition activity tend to reduce those deviations in later years, and firms with larger positive leverage deficits engage in lower future acquisition activity.

Therefore, leverage benchmarks matter in two ways. External peer benchmarks appear to describe part of the market-leverage environment in which firms operate, while internal target benchmarks are more closely related to post-acquisition adjustment and future acquisition activity. The most cautious answer to the research question is that leverage benchmarks are associated with both capital structure adjustment and M&A behavior, but the evidence is not causal and the peer benchmark is sensitive to the leverage measure used.

7.2 Final concluding remarks

The main conclusion is that corporate leverage should not be viewed only as a static financing choice. It is also a relative position that can shape later strategic flexibility. Firms appear to operate with reference to industry peers, but the evidence for this is strongest only for market leverage. They also appear to move back toward internal target leverage after acquisition

activity, and firms that are above target leverage undertake less acquisition activity in the future.

The thesis does not prove that firms mechanically imitate peers or that acquisitions directly cause all observed leverage adjustment. Instead, it shows that relative leverage positions contain meaningful information about both financing behavior and acquisition activity. Within the limitations of the empirical design, the results support the importance of studying capital structure not only as the result of past financing decisions, but also as a constraint on future corporate decisions.

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